

The Complete Financial Guide for Young Couples

seled who thought they could outsmart the IRS. To my knowledge, none succeeded. Most ended up paying the taxes, plus interest and penalties and lost the investment money as well.

I recall a young real estate salesman named Carl who had been investing in apartment buildings with several other Christians from his church. Carl managed the complexes for which he received a monthly fee. The investors were allocated the tax write-offs for depreciation, taxes, interest, et cetera.

As the buildings appreciated in value, Carl would borrow against the equity, sharing equitably with his limited partners. He would then raise the rents to cover the additional loan payments, a great strategy during good times.

But what Carl failed to realize was that he had created a time bomb just waiting for a slump in the economy. Inevitably that slump came and renters who had lost their jobs moved out.

With the break-even point at 90 percent occupancy, Carl quickly got into financial trouble. Within a few months the apartments were hopelessly delinquent and were being foreclosed by the lenders. After many struggles, with Carl desperately trying to find a way to salvage his investment, the apartments were repossessed. But that wasn't the end of Carl's troubles. The IRS declared that all of the previously claimed depreciation and equity loans would have to be recaptured, meaning that each of the investors would have to claim \$50,000 in "phantom" income.

Many of the partners, including Carl, lost everything they owned and still owed thousands in taxes. Carl learned the hard way that you don't really avoid income taxes; you only delay them.

One final note about tax shelters. You should *never* get into an investment solely for the tax benefits involved. Any good investment is eventually supposed to make money for you, and that is the true test that the IRS uses. Did you get into it primarily for economic benefit, or did you get into it primarily to save taxes? If it was primarily to save taxes, the great probability is you're going to lose money in the investment,